



Time: 6 minutes

Outcome: Calculate trade and capital balances and connect NX, NCO, saving, and investment.

Difficulty: Intermediate

International Transactions and Open-Economy Identities

THE CORE IDEA

Net exports are exports minus imports: $NX = X - M$. Positive NX is a trade surplus; negative NX is a trade deficit. Net capital outflow is domestic purchases of foreign assets minus foreign purchases of domestic assets. In the course accounting model, $NX = NCO$. National saving finances domestic investment and NCO, so $S = I + NCO = I + NX$.

HOW TO RECOGNIZE IT

- Exports add to NX; imports subtract from NX.
- A domestic resident buying a foreign asset raises capital outflow and NCO.
- A foreign resident buying a domestic asset lowers NCO and is a capital inflow.
- If S exceeds I, the difference is positive NCO and positive NX.

WATCH OUT

Do not import Micro tariff or comparative-advantage analysis into these identities. Also do not call a trade deficit a mathematical error: it corresponds to negative NCO in the accounting model.

WORKED EXAMPLE: MATCHING THE TWO SIDES

Trade and asset transactions (billions of dollars)

	Positive flow	Negative flow	Net
Goods: NX	Exports 300	Imports 360	-60
Assets: NCO	Residents buy foreign 90	Foreigners buy domestic 150	-60

Exports are \$300 billion and imports are \$360 billion, so $NX = -\$60$ billion. Residents buy \$90 billion of foreign assets while foreigners buy \$150 billion of domestic assets, so $NCO = \$90 - \$150 = -\$60$ billion. If investment is \$240 billion, saving is $I + NCO = \$180$ billion.

CHECK YOURSELF

National saving is \$250 billion and investment is \$210 billion. What are NCO and NX?